



IIT ROORKEE



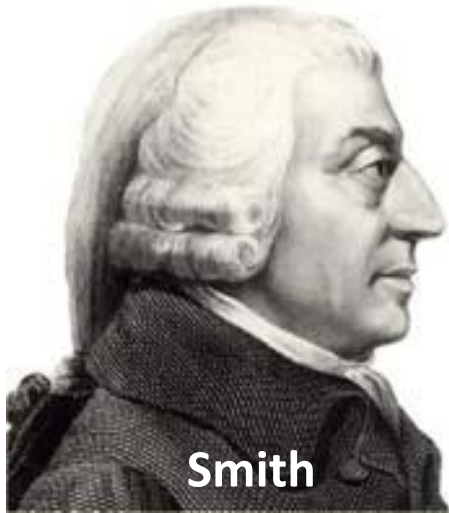
NPTEL ONLINE
CERTIFICATION COURSE

From Mercantalism to Adam Smith

DR. PRATAP C. MOHANTY

DEPT. OF HUMANITIES & SOCIAL SCIENCES, IIT ROORKEE





Smith



Ricardo



Malthus

Trade Theories

- **Classical**

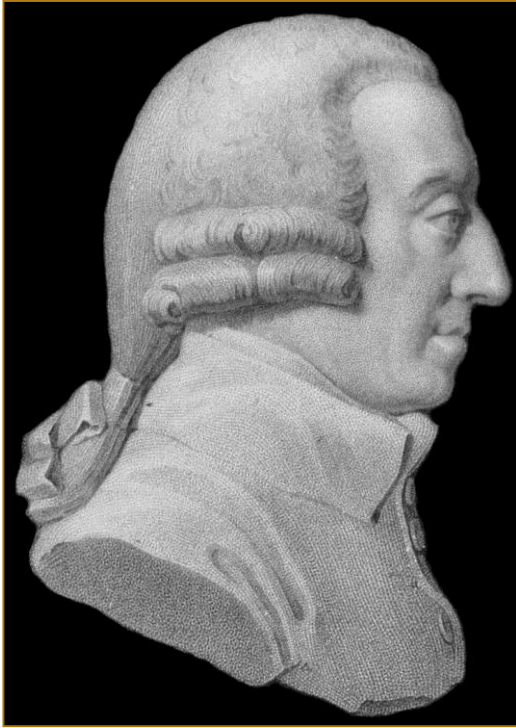
- 1. Mercantilism (William Petty, Thomas Munn and Antoine de Montchrétien model)
- 2. The Absolute Advantage (Adam Smith model)
- 3. The Comparative Advantage (David Ricardo model)

- **Modern**

- 1. Resources and Trade (The Eli Heckscher and Bertil Ohlin Model)
- 2. Specific Factors and Income Distribution (Paul Samuelson - Ronald Jones Model)
- 3. The Standard Model of Trade (Paul Krugman – Maurice Obstfeld Model)
- 4. The Competitive Advantage (Michael Porter's Model)

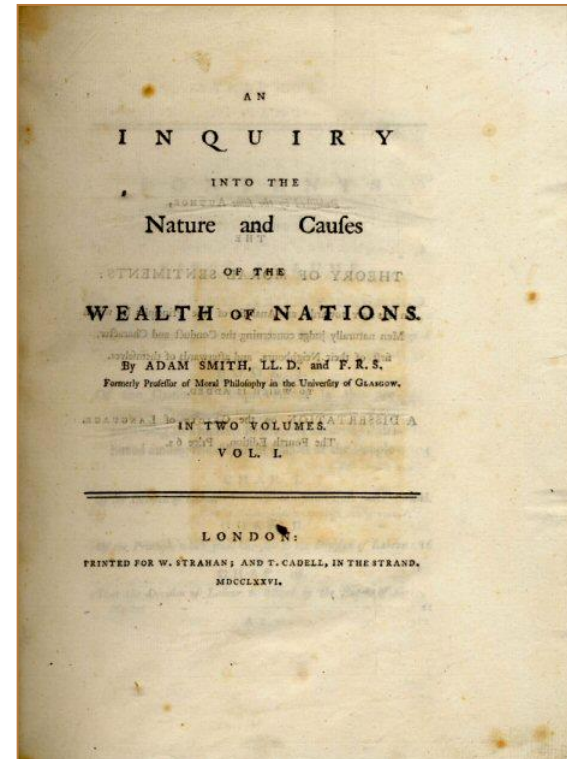
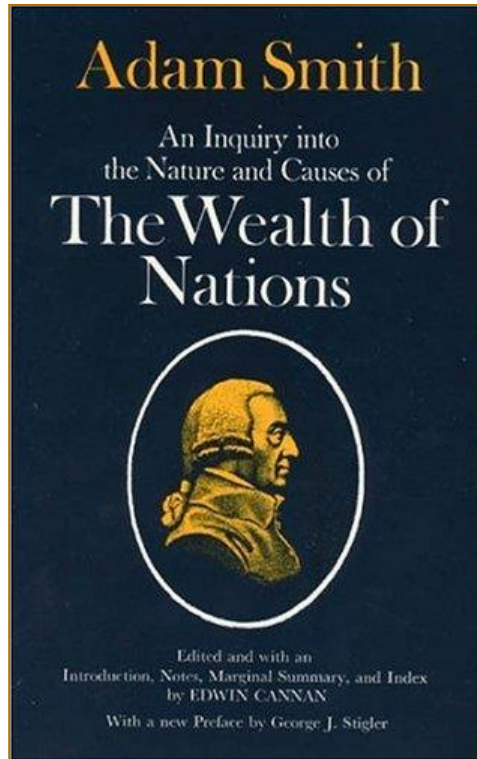


Adam Smith (1723-1790)



- Appointed to the chair of logic in 1751 at the University of Glasgow, Scotland.
- In 1752 he transferred to the chair of philosophy.
- On his travels to France, he was influenced by the writings of the Physiocrats.
- 1776 → *The Theory of Moral Sentiments and an Inquiry Into the Nature of Causes of the Wealth of Nations* was published.
 - A vehement attack of the mercantilist system.

The Wealth of Nations (1776)



Adam Smith's Attack on Mercantilism

- He was making a political argument, NOT an economic one.
 - Part of the argument was for new economic policy, but..
 - An essential part of the argument was for new social and political arrangements.
- He argued that the basic unit for social analysis should be the *nation, not the state*.
- He was against the belief that trade was a zero-sum game
 - It was a positive-sum game.
 - Both nations gained.



Basic Capitalist Principles

1. Goods and services are produced for profitable exchange.
2. Human labor power is a commodity for sale → LABOR IS THE SOURCE OF VALUE.



Basic Capitalist Principles

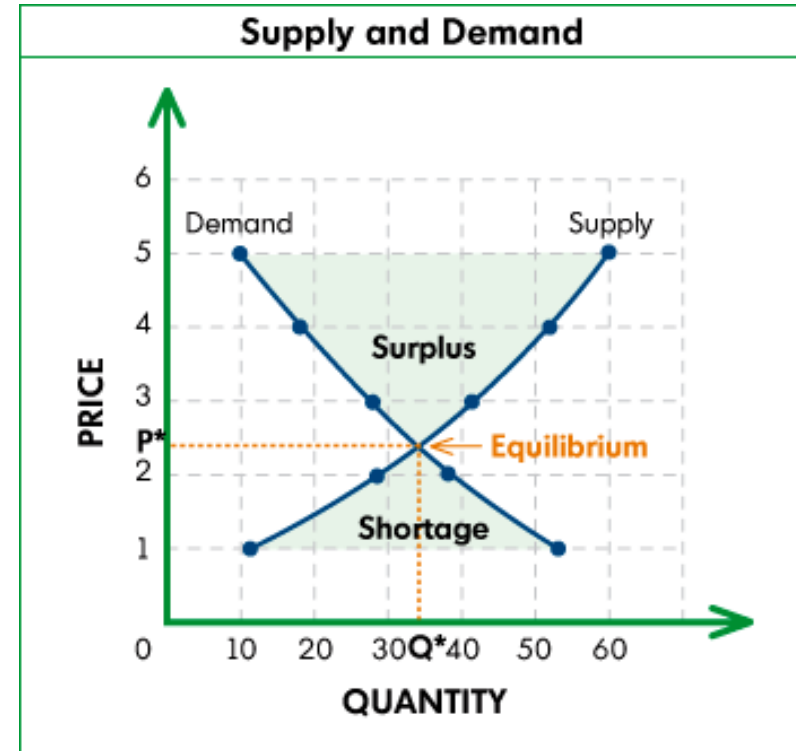
3. The “Invisible Hand” of the market

- Problem → How do we survive in a world where we must depend on many others, but where humans are by nature self-interested individuals??
- Solution → the free market, while appearing chaotic and unrestrained, is actually guided to produce the right amount and variety of goods by a so-called “invisible hand.”
- Therefore, the basic market mechanism is self-regulating!



Basic Capitalist Principles

4. Individuals seeking success are driven by self-interest → **Profit Motive**
5. The **Law of Supply and Demand**
 - Individuals who are free to pursue their self-interest will produce goods and services that others want, at prices others will be willing to pay.



Basic Capitalist Principles

6. Law of Competition

- The competitive market system compels producers to be increasingly efficient, and to respond to the desires of consumers.

7. A social division of labor will maximize the satisfaction of individual wants and needs, given scarce resources.

8. Government should interfere minimally with the free and efficient workings of the market

- *Laissez faire* [“Leave things alone.”]



- **Basic questions**

- What is the basis for trade?
- What are gains from trade?
- What is the pattern of trade?

- **Assumptions**

- 2×2×1 model
- Competitive markets
- Zero transportation cost

Trade Based on Absolute Advantage: Adam Smith

- A nation has **absolute advantage** over another nation if it can produce a commodity more efficiently.
- When one nation has **absolute advantage** in production of a commodity, but an absolute disadvantage with respect to the other nation in a second commodity, both nations can gain by specializing in their absolute advantage good and exchanging part of the output for the commodity of its **absolute disadvantage**.



Trade Based on Absolute Advantage: Adam Smith

- **Example:**
 - Canada is efficient in growing wheat, inefficient in growing bananas.
 - Nicaragua is efficient in growing bananas, inefficient in growing wheat.
 - Canada has absolute advantage in wheat, Nicaragua has absolute advantage in bananas.
 - *Mutually beneficial trade* can take place if both countries specialize in their absolute advantage.



Trade Based on Absolute Advantage: Adam Smith

- Specialization and trade advantage both countries.
- Adam Smith and other classical economists advocated policy of **laissez-faire**, or minimal government interference with economic activity.
- Free trade would cause world resources to be utilized most efficiently, maximizing world welfare.
- Paper by Gerdes, William D. in " Journal of Economic Insight. 2022, Vol. 48 Issue 2, p28-42. 15p." Highlights the different aspect of this theory.
<https://web.p.ebscohost.com/ehost/detail/detail?vid=0&sid=4c4bdaa4-c062-4edd-bcc8-451f629b5e54%40redis&bdata=JnNpdGU9ZWWhvc3QtbGl2ZQ%3d%3d#db=bsu&AN=164239673>



Trade Based on Absolute Advantage: Adam Smith

	U.S.	India
Wheat (bushels/labor hour)	6	1
Cloth (yards/labor hour)	4	5

- U.S. has absolute advantage over India in wheat.
- India has absolute advantage over U.S. in cloth.
- Both nations can gain from specialization in production and trade.

*Thank
you*

